# Pure Economic Loss

English law | Study guide | Financial loss and the interests protected

## 1. Economic loss is the broad category

Economic loss means a worsening of someone's financial position. It may include lost earnings, lost profit, expenditure or a reduction in value. It is not limited to money that might have been earned in the future. The label "pure" concerns the legal basis of the loss, not its seriousness or whether it has already occurred.

## 2. Consequential economic loss

If financial loss follows an actionable injury to the claimant or damage to the claimant's property, it may be consequential economic loss. A relevant possessory right can also matter: legal ownership is not always essential. Each head of loss must be examined separately.

**Invented example:** a cleaner negligently leaves a dangerously wet floor without adequate precautions. A worker falls, breaks a leg and cannot work for six weeks. Actual lost earnings caused by that injury may be recoverable, subject to the usual requirements and appropriate treatment of payments received. Six weeks away does not automatically mean six weeks of lost salary.

## 3. Pure economic loss

Pure economic loss is financial loss without that foundation in actionable injury to the claimant or damage to property in which the claimant has a relevant proprietary or possessory interest. It can arise even where somebody else's property was damaged.

> "Someone lost money" is only the start. Ask what interest of this claimant was harmed and how the financial loss arose. The same event may produce property damage for one person and pure economic loss for another.

Scope: negligence in England and Wales. Financial loss following actionable psychiatric illness may also be consequential; mere distress or money worries do not automatically establish an actionable psychiatric injury.

# Why Does the Law Limit Recovery?

## 1. The starting rule, with exceptions

Pure economic loss is generally not recoverable in ordinary negligence. This is a restriction on the scope of legal protection, not a statement that the loss is imaginary or that the defendant necessarily acted carefully. Factual causation and foreseeability alone do not establish a duty to protect every financial interest.

There are recognised exceptions. **Hedley Byrne & Co Ltd v Heller & Partners Ltd [1964] AC 465** recognised possible responsibility for negligent advice in a sufficiently special relationship. The bank won that particular case because of its disclaimer. Responsibility-based duties can also concern professional services.

## 2. The role of contracts

Contracts allow parties to define a service, allocate risks, agree a price and negotiate limits. Courts are cautious about turning ordinary negligence into a general guarantee of another person’s financial expectations.

But contract is not an automatic remedy. A claimant must have an applicable contractual right against a relevant party and satisfy its requirements. Nor does a contract invariably exclude a tort duty: the two can coexist where the law permits.

## 3. The spread of economic consequences

An accident may disrupt farmers, auctioneers, transport operators, suppliers and local shops. If foreseeability alone were enough, liability might extend through a very large network of businesses. This is often called the **floodgates concern**: difficulty defining the class of claimants and the extent of liability, not merely concern about court paperwork.

> Policy explains the boundaries; it does not replace legal analysis. Identify the particular duty and protected interest, and then examine breach, causation, remoteness and the loss actually proved.

Do not use the absolute formula “pure economic loss can never be claimed in tort”. Other recognised duties, contractual rights or specific statutory remedies may require separate consideration.

# Weller and the Closed Markets

## 1. Facts: auctioneers lost business

In **Weller & Co v Foot and Mouth Disease Research Institute [1966] 1 QB 569**, auctioneers claimed lost profits after a foot-and-mouth outbreak allegedly caused by virus escaping from the research premises. Official disease-control measures closed the livestock markets at Guildford and Farnham, preventing the usual auctions.

The claimants' loss was the income they would have earned from auction business. They were not suing as owners of infected cattle. Their own person or property had not suffered the relevant injury; their trading opportunities were disrupted.

## 2. Who won, and why?

**The institute won against the auctioneers' negligence claim.** Widgery J rejected a duty covering this pure economic loss on the preliminary legal issue. Even assuming the alleged negligent escape, foreseeable loss of auction business was not enough to make the institute liable to the auctioneers.

The case illustrates the distinction between damage to a claimant's protected property interests and financial repercussions through other people's business. The potentially wide economic impact on an agricultural community reinforced the need to define the duty's boundary.

## 3. The important correction

Do not say that the auctioneers would automatically have recovered if the cattle had become ill. Illness of another person's animals does not by itself convert the auctioneers' lost income into their own property damage. Conversely, a farmer whose own cattle are physically harmed may have a different claim, subject to all the legal requirements.

> Invented comparison: a farmer's own infected cattle → possible property-damage claim and related financial loss. An auctioneer loses commission when somebody else's cattle cannot be sold → generally pure economic loss. Check any relevant property or possession right.

Weller is a report citation from 1966. Its reasoning is quoted and discussed in D Pride & Partners v Institute for Animal Health [2009] EWHC 685 (QB), especially paras 2 and 88-93. The comparison above is illustrative, not an extra finding in Weller.

# Check Your Understanding

**1. Does “pure” mean only future lost profit?**
Answer: No. Pure economic loss can include expenditure, lost value and other financial losses. The underlying protected interest determines the category.

**2. Why can the injured worker’s lost earnings be consequential?**
Answer: They flow from the worker’s own actionable injury. Duty, breach, causation and the actual financial loss must still be established.

**3. Does damage to anyone’s property make my loss consequential?**
Answer: No. Ask whether this claimant had the relevant proprietary or possessory interest when the damage occurred.

**4. Why did the auctioneers lose in Weller?**
Answer: Their lost business was pure economic loss outside the relevant duty. Foreseeability alone did not establish liability to them.

**5. Would illness of another person’s cattle automatically change that?**
Answer: No. It may support that owner’s property claim, but does not automatically give the auctioneers the same basis for recovery.

**6. Are all claims for pure economic loss excluded?**
Answer: No. Negligent advice or professional services may attract responsibility-based duties. Contractual and statutory routes must be checked separately.

**7. Does contract law always provide the missing remedy?**
Answer: No. There must be an enforceable right against the relevant defendant. A financial loss does not itself create a contract or a right to compensation.

> Exam sequence: identify the claimant and each loss → identify injury/property rights → classify the financial loss → consider the general restriction and any recognised duty → examine the remaining requirements.

## Sources

Adapted from the supplied transcript, correcting definitions and the cattle-ownership point. Authorities: Weller [1966] 1 QB 569, as quoted/discussed in D Pride [2009] EWHC 685 (QB); Armstead [2024] UKSC 6, paras 19-21 and 27; Hedley Byrne [1964] AC 465. Invented examples are marked.